

Financial Advisor Consulting Agreement

This Financial Advisor Consulting Agreement is made between the Advisor, Javier Béjar, and the Investor, Edoardo Anfelli.

The terms outlined below detail the nature of the services provided by the Advisor to the Investor.

1. Estimate of Relative Risk Aversion Coefficient

The relative risk aversion coefficient (k) of the Investor is estimated to be 2.4093.

We chose the following formula:

$$k = age * \frac{7}{life\ expectancy - minimum\ legal\ age\ to\ invest} - (1 + \frac{1}{age})$$

This formula takes in account life cycle and in the case of the client Ms. Yanni respects her risk aversion standards.

We considered her age (30), life expectancy (79 for a USA Woman) and the minimum legal age to invest in USA (18).

2. Investment Amount

The exact amount of money invested by the Investor is **60.000,00€** (her savings), plus a variable component yearly that corresponds to the amount of the bonus Ms Yanni receives from her job. This amount will be utilized to build a diversified portfolio as outlined below.

3. Asset Selection Rationale

The assets selected for the Investor's portfolio have been chosen based on a detailed analysis of market trends, asset risk profiles, currency hedging and the Investor's RRA coefficient.

Specific securities are:

- Amundi Nasdaq-100 Daily (2x) Leveraged ICITS ETF (LQQQ)
- Xtrackers MSCI World ex USA UCITS ETF (EXUS)
- Gold (GLD)
- Risk free asset: United States 5 Year TIPS

The Amundi Nasdaq-100 Daily (2x) Leveraged ICITS ETF has been selected due to their better historical performance compared to other US indexes and the low exposure to the energy sector

(only 0.44% of Nasdaq 100 is composed by energy sector while for S&P 5000 is 3.5%, and considering Ms Yanni situation is better not to take more exposition on the energy

market because of the strong relationship between her salary bonus and the company she works for “Clearway Energy Inc [CWEN]”).

Xtrackers MSCI World ex USA UCITS ETF to minimize the exposition to USA Market and up the diversification with global stock market with the goal of reducing systematic volatility of the portfolio.

Gold as diversifier and inflation hedge.

United States 5 Year TIPS as the Risk-free rate, as it matches Ms. Yanny investment horizon and country of residence (Chicago, Illinois), that should keep the same during the next 5 years.

4. Portfolio Weights

Based on the security selection and Ms. Yanni’s relative risk aversion coefficient (K), the portfolio weights have been determined by optimizing the allocation of risky assets to maximize the Sharpe Ratio, while respecting Ms. Yanni’s risk tolerance and life circumstances.

The weights assigned to the risky assets are as follows:

- **Amundi Nasdaq-100 Daily (2x) Leveraged ICITS ETF (LQQQ):**
14.48% (0,18824 leveraged 1,3x)
- **Xtrackers MSCI World ex USA UCITS ETF (EXUS):**
52.50% (0,6825 leveraged 1,3x)
- **Gold (GLD):**
33.02% (0,42926 leveraged 1,3x)

The weight for the risk-free asset (U.S. 5-Year TIPS) has been initially set to **0%**, reflecting Ms. Yanni’s aggressive strategy. However, leveraging has been capped at 30% to prevent too much borrowing.

5. Justification for Portfolio Weights and Financial Methods

These weights have been determined based on risk tolerance, historical returns’ characteristics and Ms Yanni’s income conditions (variance and covariance of labour income).

Used the following formula for the risky assets:

$$weight_{risky} = \frac{1}{\rho} * \frac{r - r_f + \sigma^2}{k * \sigma^2} * \left(1 - \frac{1}{\rho}\right) * \frac{\sigma_{lu}}{\sigma_{lu}^2}$$

To find r and sigma^2 we looked for excess returns and variance of the maximum sharpe ratio portfolio which included EXUS, LQQQ and GLD assets.

Rho is the expend percentage (50%), sigma_lu is the correlation between her labour income and market, and sigma_l is the volatility of Ms Yanni labour income.

The weight for non-risky asset (US 5 years TIPS) was obtained as

$$weight_{rf} = 1 - weight_{risky}$$

The result was initially negative, to compensate leveraging, but we have created a bonus reinvestment strategy (explained below).

As rf we considered today's 5 years US TIPS Yield.

Bonus Reinvestment Strategy:

While the optimal allocation suggests a 130% allocation to risky assets (i.e., 30% leveraged exposure and shorting risk free asset with other 30%), we propose an alternative strategy that avoids direct borrowing during all 5 years.

Ms. Yanni's annual bonus, amounting up to €60,000, will be **reinvested over the next 5 years**, at first covering the additional 30% of risky assets over time.

This allows Ms. Yanni to maintain the aggressive allocation while ensuring her bonus contributions act as a buffer, without requiring upfront leverage.

By reinvesting the bonus into the portfolio each year, Ms. Yanni can gradually reach the optimal allocation target without incurring borrowing costs or financial leverage. This approach aligns with her investment horizon and risk appetite.

Once she will covered all the loan (30% of 60.000,00€ = 18.000,00€), that would be in 1-2 years, bonus capital will be invested in the risk free asset, to reduce portfolio's volatility.

6. Expected Portfolio Return, Volatility, and Sharpe Ratio

Expected Return

8,45 %

Expected Volatility

16,36%

Sharpe Ratio

0.39

7. Timing of Asset Purchases and Sales

Initial purchases will be made using Ms. Yanni's **€60,000 lump sum investment**, allocated according to the portfolio weights, with an initial **130% exposure to risky assets**.

Subsequent investments from Ms. Yanni's annual **€60,000 bonus** will be used to gradually cover the leveraged portion. This approach ensures that Ms. Yanni achieves the target allocation of 130% in risky assets without needing to borrow funds upfront.

Instead, her bonuses will serve as future contributions, to rise exposition on the risk free asset, in this way, the more we're close to the end of the investment, the lower the volatility of the portfolio will be.

Rebalancing will occur whenever the portfolio's asset weights deviate significantly (more than 10%) from the target. The goal of the rebalancing process is to maintain the desired risk exposure and ensure continued alignment with Ms. Yanni's financial goals. Additionally, the reinvestment strategy will help manage market fluctuations and maintain inflation protection through continued allocation to **Gold (GLD)**.

8. Depository Institution

JPMorgan Chase & Co. is chosen as the depository institution due to its robust reputation, global reach, and extensive experience in asset management and custody services. As one of the largest and most reliable financial institutions worldwide, JPMorgan Chase & Co. ensures a high level of trust and security, which is critical for managing complex financial transactions. Their strong infrastructure and expertise make them an ideal partner for safeguarding assets and providing comprehensive advisory services.

9. Fees and Expenses

The Advisor will charge the following fees for services rendered:

- Transaction Fees: \$10 per trade. Assuming 10 trades, 4 of which at the start, 1 each year for 4 years to re-invest Ms Yanni bonus on the 4 selected assets and assuming rebalancing 2 times during following 5 years. (\$100 total)
- Planning Fee (one time): \$500 for initial set up
- Management fee (yearly): 0,4% + 5% of excess returns
- ETF's Total Expense Ratio (TER): 0.15% for EXUS and 0.60% for LQQQ

This is an overview of the taxation for Ms Yanni investment, which strictly depends by amount gained, following US':

- 0% tax on capital gains for taxable income up to \$47,025.
- 15% tax for taxable income between \$47,026 and \$518,900.
- 20% tax for taxable income above \$518,900.

10. Acceptance

By signing below, both parties agree to enforce and uphold the full terms of this agreement until it expires or is otherwise cancelled by both parties.

Madrid, 10/10/2024

Javier Béjar

Advisor Signature

Edoardo Anfelli

Investor Signature